# FIRE Calculator

Personal Financial Scenario Report

**Canada · CAD**

fincalcsmart.com/fire-calculator

## EXECUTIVE SUMMARY

**Building**

| | | | |
|---|---|---|---|
| **CA$1,050,000** | **8%** | **Age 49** | **55/100** |
| FIRE Target | FI Progress | FIRE Age | Readiness Score |
| | | | Fair |

## PROJECTED PORTFOLIO AT FIRE DATE


Total projected: CA$1,016,327

- Initial Assets: CA$80,000 (7.6%)
- Total Contributions: CA$408,000 (38.9%)
- Investment Growth: CA$528,327 (53.5%)

## AI-ASSISTED FIRE READINESS SUMMARY

Based on a FIRE target of CA$1,050,000 (25x annual expenses of CA$42,000, 4% rule), you are projected to reach Financial Independence at age 49 -- in approximately 17 years. Current progress: 8% of target (CA$80,000 of CA$1,050,000).

At undefined% assumed annual return (Monthly compounding), investing CA$2,000.00/month from a starting base of CA$80,000 is projected to reach CA$1,016,327 at the FIRE date -- composed of CA$80,000 in initial assets, CA$408,000 in total contributions, and CA$528,327 in estimated investment growth. Financial Independence Readiness Score: 55/100 (Fair).

You still need CA$970,000 to close the gap to your FIRE target. Increasing your monthly investment rate, reducing annual expenses, or accepting a higher withdrawal rate (lower FIRE multiple) will accelerate your timeline. Your current savings rate is estimated at 25.3% of annual income -- a key FIRE metric, as higher savings rates compress the time to financial independence. This projection does not account for CPP, OAS, or pension income that may reduce the required portfolio size.

## INPUTS & ASSUMPTIONS

| | |
|---|---|
| Current Age | **32** |
| Current Invested Assets | **CA$80,000** |
| Monthly Investment | **CA$2,000.00/month** |
| Annual Expenses | **CA$42,000** |
| Expected Annual Return | **undefined%** |
| Compound Frequency | **Monthly** |
| FIRE Multiple | **25x (4% rule)** |
| Annual Income | **CA$95,000** |
| Region | **Canada** |

## DETAILED RESULTS

| | |
|---|---|
| FIRE Target | **CA$1,050,000** |
| FI Progress | **8%** |
| Gap to FIRE | **CA$970,000** |
| Years to FIRE | **17 yrs** |
| FIRE Age | **Age 49** |
| Projected at FIRE Date | **CA$1,016,327** |
| Total Contributions | **CA$408,000** |
| Est. Investment Growth | **CA$528,327** |
| Savings Rate | **25.3%** |
| Readiness Score | **55/100 (Fair)** |

## KEY DRIVERS / POSSIBLE ADJUSTMENTS

- Annual expenses (CA$42,000) are the single most powerful FIRE lever. Every $1 reduction in annual spending reduces your FIRE target by CA$25 and increases your effective savings rate simultaneously.
- Monthly investment of CA$2,000.00/month compounds to CA$408,000 in contributions by the FIRE date. Increasing contributions by 10% meaningfully compresses the timeline.
- The 25x multiple (4% rule) determines the target portfolio size. Choosing a lower multiple (e.g., 20x vs 25x) reduces the target by CA$210,000 but implies a higher withdrawal rate in retirement, increasing longevity risk.

## METHODOLOGY

**What this calculator models:**

- Calculates the FIRE target as annual expenses multiplied by the selected FIRE multiple (25x). Uses a binary-search solver to find the exact month when the projected portfolio reaches the FIRE target.
- Applies Monthly compounding at undefined% annual return using an effective monthly rate conversion. Portfolio grows from initial assets plus monthly contributions.
- Readiness Score (0-100) reflects current progress percentage and time-to-FIRE efficiency. Not a guaranteed outcome indicator.

**What this calculator does not model:**

- CPP, OAS, or pension income offsets to annual expenses.
- Inflation adjustment on expenses or FIRE target.
- Taxes on investment withdrawals or capital gains.
- Sequence-of-returns risk or variable market returns.
- Withdrawal phase (decumulation) portfolio modeling.
- Fees or investment costs on growth returns.

## EDUCATIONAL DISCLAIMER

This report is for educational and illustrative purposes only. The FIRE projection uses a fixed assumed return and does not account for market volatility, taxes, inflation, CPP/OAS or Social Security income, or sequence-of-returns risk. The widely-cited 4% rule (25x multiple) is an educational guideline, not a guarantee. Actual financial independence depends on personal circumstances, spending, and market conditions. This does not constitute financial, tax, or investment advice. Consult a qualified financial advisor.